

Discussion–Agreed Upon Procedures

I. Minutes – March IAASB Meeting

The Board received presentations from Mr. Vittorio Morelli, Mr. Villanueva Garcia Jorge and Mr. Dinos Alevizopoulos, representing the EC, and Ms. Hilde Blomme, representing Fédération des Experts-comptables Européens (FEE), about the EC's Horizon 2020 program ("Horizon 2020"), which is a major source of agreed-upon procedures (AUP) engagements in Europe. The EC representatives further explained the expectations of the EC in relation to auditors issuing reports of factual findings on "Horizon 2020" projects. Ms. Blomme updated the Board on the increasing importance of AUP engagements in Europe, and noted some of the issues practitioners may face when performing "Horizon 2020" engagements in accordance with ISRS 4400,¹ and possible solutions.

Following the presentations, the Board and the presenters discussed some specific challenges practitioners may face when performing AUP engagements.

Way Forward

The AUP WG will use the information obtained through these presentations as input to its information gathering activities, and will present information about the use of, and issues related to, ISRS 4400 to the Board later this year.

II. Background

1. The AUP Working Group (WG) has developed this paper to provide the IAASB with a basis for exploring the way forward on the AUP project.² This paper is intended to provide the IAASB with information about:
 - Section A — Existing practices regarding AUP engagements.
 - Section B — Issues relating to ISRS 4400.
 - Section C — Hybrid engagements.
 - Section D — WG's suggested way forward for this project.

A. Existing Practices Regarding AUP Engagements

Types of Agreed-Upon Procedures

2. Input from National Standard Setters (NSSs), members of the Small-Medium Practice Rapid Response Task Force and others suggest that AUP engagements are performed on both financial and non-financial information. For example:

¹ International Standard on Related Services (ISRS) 4400, *Engagements to Perform Agreed-Upon Procedures Regarding Financial Information*

² The AUP initiative as described in the 2015-2016 Work Plan is set out in the appendix.

Primarily financial information	Primarily non-financial information
Eligibility of expenditures claimed from a funding program (e.g., Horizon 2020)	Internal controls over financial reporting
Comfort letter to a securities regulator on investment firm's fulfillment of its obligations to clients upon deregistration	Due diligence in a business acquisition
Report on revenues (e.g., for determining royalties, rent, franchise fees based on a % of revenues)	Compliance with "green packaging" requirements
Reconciliation between different financial reporting frameworks	Report on number of passengers to Civil Aviation Authority
Report on compliance with bank covenants	Report on greenhouse gas emissions
Report on capital adequacy ratio for regulatory authorities	Observation of destruction of fake or defective goods
Calculations of financial ratios of projected cash flows for reporting to tax authorities	Data generating process for national lottery draws

3. As indicated in the table above, there is a wide variety of AUP engagements. Some of these AUP engagements are highly regulated and may require specialized skills to perform.

National AUP Standards and Guidance

4. Our survey of NSSs suggests that many jurisdictions have national standards or guidance that is based on, or similar to, ISRS 4400.

AUP Standard	Jurisdictions
National standard that is adopted from, based on, or is similar to, ISRS 4400	Canada, China, France, Hong Kong, Netherlands, South Africa
No national standard. However, guidance issued by professional body is based on, or similar to, ISRS 4400	Germany, Japan, Mexico, New Zealand, United Kingdom
National standard that is significantly different from ISRS 4400	Australia, United States

5. With respect to jurisdictions that do not have a national AUP standard, the primary reason for not having a national AUP standard is that the NSS does not have the mandate to promulgate such a standard. However, the professional accounting bodies in many of these jurisdictions issue guidance that is based on ISRS 4400. In the WG's view, a revised AUP standard will benefit many jurisdictions around the world.

Matters for IAASB Consideration

1. Are there any other matters of significance that the IAASB believes are relevant to the background information on existing practices regarding AUP engagements?

B. Issues relating to ISRS 4400

Outdated Drafting

6. ISRS 4400 was issued before the clarity project and the drafting of the ISRS is outdated. For example, the ISRS uses terminology such as “auditor” and makes references to using the ISAs as guidance. Such terminology and references are no longer appropriate under the clarity convention for a non-assurance engagement standard. In the WG’s view, ISRS 4400 needs to be written in the clarity format to clearly set out the requirements and guidance relating to the practitioner’s work effort and reporting responsibilities when performing an AUP engagement.

Distinction Between an AUP engagement and an Assurance Engagement

7. An AUP engagement is premised upon:
 - the practitioner performing AUP and reporting on factual findings; and
 - the intended users assessing for themselves the procedures and findings reported, and drawing their own conclusions on the practitioner’s work.

This is in contrast to an assurance engagement when the practitioner performs procedures that the practitioner determines to be necessary to obtain sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of confidence of the intended users about the subject matter information.

8. Given the premise of an AUP engagement, the WG is of the view that there is a need for consistency regarding:
 - The role of professional judgment, professional competence and due care in an AUP engagement;
 - The practitioner’s objectivity in conducting an AUP engagement;
 - Performance of procedures normally associated with assurance engagements in an AUP engagement; and
 - Use of assurance terminology in an AUP report.

Professional Judgment, Professional Competence and Due Care

9. A practitioner may need to exercise considerable professional judgment in providing advice to the engaging party on the nature, timing and extent of procedures that should be included in certain types of AUP engagement. However, since only factual findings are included in the AUP report, the descriptions of the procedure need to be sufficiently specific so that little or no professional judgment is required to be exercised in the determination of the facts to be reported. Similarly, professional skepticism normally relates to the consideration of the sufficiency and appropriateness of evidence. Since the practitioner is not gathering evidence to support a conclusion, the concept of professional skepticism may not be relevant in an AUP engagement. However, the practitioner is

required to perform the engagement with professional competence and due care. For example, when adding the sales figure from a stack of sales invoices, the practitioner would need to possess the necessary professional competence and exercise due care in determining whether the documents in question are in fact sales invoices and which figures ought to be included in the addition. An issue is how to appropriately reflect the role of professional competence and due care (as opposed to professional judgment and professional skepticism) in the revised AUP standard.

Practitioner's Objectivity

10. Certain national AUP standards (e.g., Australia's ASRS 4400³ and the American Institute of Certified Public Accountants' (AICPA) proposed attestation standard on AUP) require the practitioner to be independent when performing an AUP engagement. Certain users may also require the practitioner to comply with the independence requirements when performing the AUP engagement (e.g., the European Commission's Horizon 2020 program requires the practitioner to comply with the independence requirements in the Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants ("IESBA Code"), even though the independence requirements apply only to assurance engagements).
11. The IESBA Code requires a practitioner to be objective, but does not require the practitioner to be independent, when performing a non-assurance engagement. The WG does not intend to open up the question as to whether a practitioner should be independent when performing a non-assurance engagement. However, the issue of the role of objectivity (as opposed to independence) may need to be further explored in light of the approaches taken by various national AUP standards around the world and user needs.

Procedures Normally Associated with Assurance Engagements

12. Certain procedures such as the determination of materiality and the assessment of risk are normally associated with an assurance engagement. For example, establishing materiality may not be necessary in an AUP engagement as it is the responsibility of users to determine whether the subject matter information is free from material misstatement or non-compliance. Likewise, risk assessments may not be necessary as the nature, timing and extent of procedures to be performed are agreed with the engaging party, and are not determined by the practitioner in response to assessed risks. Some national AUP standards such as Australia's ASRS 4400 explicitly prohibit such procedures. ISRS 4400 is silent on whether such procedures are prohibited. The issue is whether the revised AUP standard should explicitly set out a position regarding whether procedures normally associated with assurance engagements could be performed in an AUP engagement.

Assurance Terminology

13. There is lack of clarity regarding the use of terminology that is normally associated with assurance in ISRS 4400. For example, the phrase "review" may be appropriate when read in the context of a layperson's understanding, but may be misinterpreted by others as limited assurance being provided on the subject matter information. In some cases, the use of such terminology is set out in law or regulation. Some national AUP standards (e.g., Australia's ASRS 4400 and the AICPA's

³ Australia Standard on Related Services (ASRS) 4400, *Agreed-Upon Procedures Engagements to Report Factual Findings*

proposed standard on AUP) explicitly prohibit the use of such terminology. The issue is whether the revised AUP standard should also prohibit the use of such terminology, and whether exceptions should be permitted when law or regulation mandates the use of such terminology.

Non-Financial Information

14. The scope of extant ISRS 4400 is limited to AUP on financial information. However, extant ISRS 4400 also states that ISRS 4400 “may provide useful guidance for engagements regarding non-financial information, provided the auditor has adequate knowledge of the subject matter in question and reasonable criteria exist on which to base findings.”
15. Several national AUP standards include non-financial information within their scope (for example, the AICPA’s proposed standard on AUP engagement and Australia’s ASRS 4400). Given that AUP engagements are often performed on non-financial information, an issue to consider is whether the revised AUP standard should continue to focus on financial information only. In considering this issue, the WG notes that preliminary input from the SMP Rapid Response Task Force and a number of NSSs did not identify any specific issues with regard to applying ISRS 4400 to non-financial information.

Duty of Care

16. In some circumstances, a funder, regulator or other user of an AUP engagement may set out the procedures to be performed, but is not a party to the contractual agreement. This situation creates issues such as whether the practitioner should be required to:
 - Agree the terms of engagement with the intended users (or a representative of the intended user such as a regulator) or obtain evidence that the intended users (or their representative) would be amenable to the agreed terms of engagement between the practitioner and the contracting party before performing the engagement.
 - Obtain evidence that the intended users (or their representative) agree to an amended procedure before amending the procedure or whether the practitioner is permitted to amend a procedure during the course of the engagement by obtaining agreement with the contracting party.

At issue is how to appropriately balance the practical difficulties that may be created by such requirements with ensuring that intended users are able to take responsibility for drawing their own conclusions on the practitioner’s work.

The Agreed-Upon Procedures Report

17. ISRS 4400 requires that the practitioner’s report includes “a statement that the report is restricted to those parties that have agreed to the procedures to be performed.”⁴ This restriction is in place as parties other than those who have agreed to the procedures may be unaware of the reasons for the

⁴ ISRS 4400, paragraph 18(l). However, public sector perspective paragraph 1 provides guidance that a “report in a public sector engagement may not be restricted only to those parties that have agreed to the procedures to be performed, but made available also to a wider range of entities or people (for example, a parliamentary investigation about a specific public entity or governmental department).”

procedures and therefore, may misinterpret the results. The WG is aware that restrictions on distribution of the report has caused issues as the AUP report may be required to be provided to other parties either by law or regulation, or by contractual agreement. An issue arises as to whether it is appropriate to restrict the distribution of the report.

18. The WG is also aware of concerns that the AUP report does not adequately convey the value provided by practitioners. An AUP engagement is not an assurance engagement and the AUP report reflects this fact with the caveat that “no assurance is expressed.”⁵ However, users do take “comfort” from the fact that the procedures are performed, and the findings reported, by a practitioner who possesses professional competence and has undertaken the engagement with due care. At issue is how to word the report so that a layperson can understand the value provided by an AUP engagement derives from professional competence and due care that the practitioner exercises in conducting the procedures and reporting factual findings, rather than conveying any degree of assurance. This issue would need to be considered in conjunction with issues relating to use of assurance terminology in an AUP report as set out in paragraph 15 above.
19. Based on examples of AUP reports obtained by the WG, the WG notes that the “short-form” AUP report as set out in Appendix 2 of ISRS 4400 does not appear to be commonly used in practice. It would be useful for the illustrative AUP report in the revised ISRS to be more reflective of AUP reports issued in practice. More importantly, an examination of AUP reports might also show how they can be enhanced to communicate more effectively.

Relationship with ISA 600⁶

20. The WG is aware that there may be confusion as to whether specified procedures performed by component auditors under ISA 600 constitute AUP in accordance with ISRS 4400. On the one hand, “specified procedures” may be an analogous application of AUP. On the other hand, professional judgment is likely necessary in performing the specified audit procedures (e.g., in selecting samples for testing) and in considering the findings, which are not necessarily factual. In the view of the WG, the relationship between ISA 600 and the revised AUP standard may need to be clarified.

Matters for IAASB Consideration

2. Does the IAASB agree with the issues identified, and are there any other issues relating to ISRS 4400 that the IAASB believes the WG should further explore?

C. Hybrid Engagements

21. Input from NSSs, members of the SMP Rapid Response Task Force and other parties seem to indicate that there is no common understanding of what constitutes a hybrid engagement. Based on input received, it appears that hybrid engagements involving AUP generally fall under two categories:

⁵ ISRS 4400, paragraph 18(j)

⁶ ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

- Category 1 – Two or more separate engagements on the same or related subject matter information such as an audit of the financial statements and AUP on internal controls over financial reporting, or a review of the financial statements and AUP on certain elements within the financial statements.
 - Category 2 – Specified procedures that require the practitioner to provide a conclusion on subject matter information.
22. In the WG's preliminary view, category 1 hybrid engagements do not present performance issues, but there are reporting issues as to how to present the report or reports (i.e., two separate reports or one report with two separate sections). The key consideration is to how to clearly segregate the description of the assurance engagement from the AUP engagement so that users are not confused as to the nature of the work done and the conclusions or factual findings reached. A related reporting issue is whether the practitioner is permitted to issue an AUP report if the practitioner has previously issued an adverse opinion or disclaimed an opinion on the same or related subject matter information. The key consideration in this case is to avoid giving the impression of a "piecemeal opinion".
23. In the WG's view, category 2 hybrid engagements represent departure from ISRS 4400 or lack of understanding of the scope of the existing assurance and related services standards. This issue is related to the issues as described in paragraphs 9-15 above regarding the lack of distinction between an AUP engagement and an assurance engagement. In analyzing the issues relating to the lack of distinction between AUP engagements and assurance engagements, the WG may consider the implications arising from category 2 hybrid engagements. The WG may also consider the use of non-authoritative staff guidance or other educational tools to address hybrid engagement issues. However, at this time, the WG has not reached a conclusion on whether, and if so how, such engagements would be addressed.

Matters for IAASB Consideration

3. Is the IAASB's understanding of hybrid engagements consistent with that of the WG?
4. Does the IAASB agree with the WG's preliminary views regarding the issues related to hybrid engagements?

D. Proposed Way Forward

24. Through preliminary consultations with NSSs, members of the SMP Rapid Response task force, and other stakeholders, the WG has obtained a basic understanding of how AUP engagements are performed and some of the issues relating to such engagements. Given the wide spectrum of AUP engagements and the extensive issues relating to such engagements, the WG is of the view that a more in-depth understanding of how AUP engagements are performed and the related the issues are essential. The WG notes that the IAASB's recent experience has shown that obtaining appropriate information early in a project, in particular for purposes of scoping the project, benefits projects in the long term. Obtaining input from interested stakeholders at an early stage is also expected to help further inform the IAASB on the broad range of issues and potential actions to address them (e.g., whether standard-setting or other actions by the IAASB or others such as the development of non-authoritative guidance would be more appropriate), and to assist the IAASB in focusing its efforts on the most significant issues.

Development of a Discussion Paper

25. As an initial step, the WG recommends a Discussion Paper (DP) that outlines the issues identified for the purposes of:

- Validating the issues that have been identified; and
- Identifying any other issues including evolving challenges in practice.

The WG proposes to develop this DP with publication planned for after the March 2016 IAASB meeting. As the WG develops the DP, it will also advise the IAASB on its view as to whether interviews with selected stakeholder groups or other outreach activities would be worthwhile.

26. In order to develop a robust DP, the WG intends to more thoroughly explore some of the identified issues through various interactions with relevant stakeholders. This will include understanding:

Issues	Stakeholder groups
The pervasiveness of AUP engagements on non-financial information and issues specific to performing AUP engagements on non-financial information.	Practitioners and intended users (e.g., regulators and funders)
Practitioners' experiences and expectations regarding the role of professional judgment, professional competence and due care in an AUP engagement.	Practitioners
How extensive are procedures normally associated with assurance engagements (e.g., risk assessment, determination of materiality and obtaining management representation) being performed in practice, and the practitioners' objectives in performing those procedures.	Practitioners
Whether procedures that refer to assurance terminology are well understood.	Practitioners and intended users
Whether requests for practitioners to perform procedures that refer to assurance terminology are a result of legislative or other requirements.	Intended users
Issues related to "duty of care" in circumstances where the party that determines the procedures is not a party to the contractual agreement, and how those issues are resolved in practice.	Practitioners, intended users and contracting parties (if different from intended users)
Auditors' expectations as to whether assurance is provided by component auditors when requesting component auditors to perform specified procedures under ISA 600, and component auditors' expectations as to whether assurance is provided when performing specified procedures under ISA 600.	Practitioners who are also auditors
The level of understanding of users' responsibility in performing their own analysis of the results of the AUP report.	Intended users
Changes, if any, to the AUP report that would improve the clarity or otherwise enhance the usefulness of the report	Intended users

Issues	Stakeholder groups
Types of hybrid engagements and issues regarding such engagements	Practitioners and intended users

27. The feedback from the DP will be used as the basis for the project proposal. This will determine the standard-setting activities of the Board (or other activities as appropriate).

Suggested Approach to Moving Forward

28. The following sets out suggestions for the way forward to the expected project proposal:

Timing	Outline of WG / IAASB Discussion
June 2015 Board meeting	Information session about the issues relating to AUP and discussion on the way forward.
September 2015 CAG meeting	Information session for the CAG about the issues relating to AUP.
September 2015 Board meeting	Further discussions on issues identified as a basis for the development of the DP.
December 2015 Board meeting	Draft DP – 1st read.
March 2016 CAG meeting	Information session for the CAG about the issues relating to AUP as set out in the draft DP.
March 2016 Board meeting	Draft DP for Board approval (DP to be finalized by WG and released with a 90–120 day consultation period).
Spring/summer 2016 (Timing would need to be confirmed)	Possible interviews with selected stakeholder groups (or other format) to solicit additional input and feedback.
September 2016 CAG meeting	Discuss feedback on DP and project proposal.
September 2016 Board meeting	Discuss feedback on DP and project proposal for approval.

Matters for IAASB Consideration

5. The IAASB is asked for its views on the way forward. Specifically, does the IAASB agree with:
- (a) The WG's recommendation to develop a DP (with a decision about possible additional outreach activities at a later point in time)?
 - (b) The proposed timing of the activities until the planned project proposal?
 - (c) The proposed topics / areas for further information gathering set out in paragraph 28 above? Are there any other areas the Board believe the WG should consider exploring as part of its information gathering activities or stakeholders whose views should be solicited in advance of the DP?

Extract from the IAASB's Work Plan for 2015-2016

Agreed-upon Procedures – Revision of ISRS 4400 and Consideration of More Holistic Issues Involving Agreed-upon Procedures

Issues that may be addressed

In relation to agreed-upon procedures and the need to revise ISRS 4400—To respond to broad calls from SMPs and other stakeholders who have indicated that investors, banks and other providers of capital often request an entity to have agreed-upon procedures performed by a practitioner, either in lieu of an audit or in order to ensure that specific procedures are performed on key account balances, a project to revise this standard was planned for the 2012–2014 Strategy and Work Program. One of the main objectives of the planned project was to revise the standard in the Clarity format. However, the commencement of the project in the 2012–2014 period was delayed because of the acceleration of work on the Auditor Reporting project.

In relation to more holistic issues involving agreed-upon procedures and other similar engagements addressed by the IAASB's standards—As the IAASB contemplates work on the topic of agreed-upon procedures in the next Work Plan, it has been noted that “hybrid” engagements, using a combination of procedures derived from review, compilation and agreed-upon procedures engagements, are being performed in some jurisdictions as a means of meeting the emerging needs of SMEs, among others. Accordingly, wider consideration will be given to exploring these evolving types of engagements to consider whether standard-setting or other activities may be appropriate, in light of the existing standards that may be applicable to these services in the IAASB's current suite of standards.

Standards that May Be Addressed

Revision of ISRS 4400, with conforming amendments to other standards as necessary.

Possible Other Outputs

A new standard or guidance that would address engagements where there is a combination of agreed-upon procedures and assurance (either reasonable or limited).

Preliminary Views on the Approach to the Project

Initial information gathering activities will include consideration of:

- a) The way forward with respect to the revision of ISRS 4400, taking into account the work of various NSS in this area.
- b) The evolving use of “hybrid” engagements, including what needs such engagements are intended to address and how such engagements are performed (e.g., how the concepts of reasonable assurance and limited assurance are combined with agreed-upon procedures).

IAASB discussions for this initiative are planned to commence in mid-2015 to allow sufficient time for understanding the market needs in this area and the underlying conceptual considerations for these new types of services. A project proposal for the revision of ISRS 4400 is expected at the end of 2015, with consideration to be given at that time as to whether actions are needed in relation to “hybrid” engagements.